Matrix Structure

Unit 1 · 1.3.4.3 Organisational design

A **matrix structure** combines functional departments with **project teams**. Staff work across teams as well as within their function, so a new-product team might include engineers, designers, marketers and finance staff — each reporting to both a functional manager and a project manager (dual reporting).

Evaluation

- **Advantages** — better cross-department collaboration, communication and innovation (e.g. Google for AI/YouTube; Audi and Nintendo product teams).
- **Disadvantages** — dual reporting can cause confusion and conflicting priorities, slowing decisions and stressing staff if poorly managed.